

ARGOS: company value in ten years

Commercial assumptions, earnings and acquisition value

Investment discussion

14 September 2026

The proposed outcome

Four years of development

One PET scanner (positron emission tomography), one Compton camera, integrated software and a clinical monitoring service.

Development and clinical validation with Donostia Hospital.

Six years of commercial deployment

Sales to new treatment rooms and retrofits of existing rooms.

Enterprise value is the value of the operating business before adjusting for cash and debt. M means million; k means thousand. All projections use constant 2026 euros.

Central successful outcome

€ 150–220 M

Enterprise value in year ten

42 commercial installations

€ 42 M annual revenue

Approximately € 175 M central value

Assumptions behind the valuation

- **Timing:** years 1–4 fund development; years 5–10 are commercial years. The ten-year endpoint is approximately 2036.
- **Technical and clinical success:** the integrated system works, the intended clinical use is validated and required market approvals are obtained.
- **Commercial rights:** ARGOS holds sufficient intellectual-property rights and licences to sell and support the system.
- **Customers:** one system per eligible treatment room; the research demonstrator is excluded from commercial sales.
- **Pricing:** the v2 system price and service fees are achieved without discounts; real costs remain at the modelled level.
- **Contracts:** every buyer takes the five-year paid service contract; no cancellations, defaults or early room closures.

This is a conditional commercial-success scenario. The development budget is € 4 M; later growth financing is not assumed to be included in that amount.

Economics of one installation

Proposed prices and costs from the revised presentation.

	Revenue € k	Direct cost € k	Gross profit € k
System, including first service year	2,500	1,450	1,050
Each paid full-service year	400	130	270
Annual maintenance after handover	50	30	20

System cost: € 1.35 M delivered hardware and integration, plus € 100k for the included service year.

Paid service cost: € 80k personnel, € 30k hardware, € 5k software operations and € 15k liability cover and post-market surveillance.

Gross profit is revenue less direct delivery and service costs. Central company expenses are deducted later.

The service contract has a defined lifetime

Age of installation	Scope	Annual service fee
First year	ARGOS monitoring specialist; service included with system	Included
Following five years	Specialist on site, support and training of hospital personnel	€ 400k
Seventh year on-wards	Hospital operates the system; hardware maintenance contract	€ 50k

Through the first six years: € 4.5 M revenue and € 2.4 M gross profit per installation, before central expenses.

Central software support and manufacturer obligations continue after handover. The € 50k maintenance fee is not a continuation of the full monitoring service.

A commercial ramp consistent with the central case

Programme year	5	6	7	8	9	10
New commercial installations	2	4	6	8	10	12
Cumulative installations	2	6	12	20	30	42
Paid full-service contracts	0	2	6	12	20	30

Year ten: 12 newly delivered systems and 30 paid service contracts. None has yet reached the maintenance-only stage.

Timing convention: delivery at the start of each model year; one full included service year, followed by five full paid years. Actual accounts would reflect commissioning dates and allocate bundled revenue between hardware and service.

This ramp is a proposed sales assumption, not a customer order book.

What market position does this require?

Worldwide room base

Provisional 2026 starting point: 300 rooms.

At 5% assumed annual net growth:

$300 \times 1.05^{10} \approx 489$ rooms.

42 ARGOS installations represent approximately 8.6% of that room base.

Annual sales mix

An example for year ten:

6 new-room installations + 6 retrofits.

At the projected room base, net additions are about 24 rooms in the following year. Six new-room sales are roughly one quarter of that flow.

Manufacturer partnerships and international sales access are material commercial assumptions.

Operating rooms, orders and new commissioning are different measures. The 300-room baseline and 5% growth are planning assumptions from the market note.

Yap et al., Frontiers in Oncology 16 (2026) 1791102: 128 operating proton facilities in January 2026; facilities can contain multiple rooms.

Central case: annual earnings in year ten

	Revenue, € M	Gross profit, € M
12 installations	30.0	12.6
30 paid service contracts	12.0	8.1
Total	42.0	20.7
Central company operating expenses		−6.0
Indicative EBITDA		14.7

EBITDA: earnings before interest, taxes, depreciation and amortisation. Here it is estimated as gross profit less central cash operating expenses.

The resulting margin is 35% of revenue. This is a simplified operating model; tax, capital expenditure, working capital and financing are not deducted from EBITDA.

Allowing for a larger operating company

Proposed central expenses in year ten; additional to direct system and service costs.

Central function	€ M/year
Research, product development and central software support	2.5
Sales, distribution and international business development	1.5
Quality, regulatory work and clinical evidence	1.0
Management, finance, legal work and administration	0.6
Premises and central information technology	0.4
Total	6.0

The 42 installations also require on-site personnel: € 3.36 M/year at € 80k per installation, already included in direct costs. Supplier margins and distributor terms must fit the stated allowances.

From annual earnings to enterprise value

A buyer pays a multiple of sustainable annual earnings. The multiple reflects growth, customer retention, technology and business risk.

$$\text{€ } 14.7 \text{ M} \times 12 = \text{€ } 176.4 \text{ M}$$

Annual earnings assumption	10×	12×	15×
	Enterprise value, € M		
€ 14.7 M EBITDA; € 6 M central expenses	147	176.4	220.5
€ 12.7 M EBITDA; € 8 M central expenses	127	152.4	190.5

Central working range: € 150–220 M. These are assumed acquisition multiples, not a forecast of 2036 market pricing.

Acquisition evidence in related businesses

Mirion acquisition programme

Mirion's 2024 investor presentation reports approximately **12 times EBITDA at purchase**, falling to about seven times after expected post-acquisition synergies. This is a programme-level reference, not a direct ARGOS valuation.

Mirion Investor Day 2024, slide 26: acquisition multiples and revenue at acquisition.

Sun Nuclear: radiation-oncology quality assurance

Mirion paid about **\$258 M net of acquired cash** in 2020. Reported revenue at acquisition was **\$90–110 M**: approximately 2.3–2.9 times revenue using that purchase-price measure.

Mirion 2021 annual filing: Sun Nuclear purchase consideration. Revenue range: Mirion Investor Day 2024, slide 26. Dollar figures are historical transaction amounts.

ARGOS at € 176 M would be valued at approximately 4.2 times revenue. That premium requires stronger growth, profitability or strategic differentiation. The historical transaction ratios are context, not an exact enterprise-value comparison.

Three levels of commercial success

Year-ten measure	Smaller business	Central	Strong adoption
Installations in years 5–10	1,2,3,4,5,6	2,4,6,8,10,12	5,8,12,15,20,20
Total commercial installations	21	42	80
New installations in year ten	6	12	20
Paid service contracts	15	30	60
Annual revenue, € M	21.0	42.0	74.0
Gross profit, € M	10.35	20.70	37.20
Central expenses, € M	4.0	6.0	10.0
EBITDA, € M	6.35	14.70	27.20
Value at 10–15 times EBITDA, € M	64–95	147–221	272–408

Same unit prices and direct costs in all cases; central staffing and overhead scale with the business. Values rounded to whole millions. These are different sales outcomes after successful development.

Which assumptions move the value?

Change one assumption at a time from the central case; retain a 12-times EBITDA multiple.

Year-ten change	EBITDA, € M	Value, € M
Central case	14.7	176.4
System price falls from € 2.50 M to € 2.25 M	11.7	140.4
Annual full-service fee falls to € 300k	11.7	140.4
Delivered cost rises from € 1.35 M to € 1.60 M	11.7	140.4
Central expenses rise from € 6 M to € 8 M	12.7	152.4

Changes to service fees apply here to all 30 paid contracts as an alternative pricing case, not as an assumed unilateral change to signed contracts. Each row is separate; effects are not added.

Revenue after the first contracts mature

The first commercial cohort reaches maintenance-only service in year eleven.

Assume **12 new installations in year eleven:**

Activity	Installations	Revenue, € M
New systems, including first-year service	12	30.0
Paid full service: cohorts from years 6–10	40	16.0
Maintenance only: cohort from year 5	2	0.1
Total	54	46.1

Service revenue depends on the age of each installation and on continued sales. If new sales stop, all existing full-service contracts eventually step down to maintenance. The valuation assumes a continuing commercial business.

Company value and investor proceeds

Enterprise value

The operating business: approximately € 175 M in the central year-ten case.

Equity value

Enterprise value plus excess cash, less debt and other relevant claims.

An investor's proceeds

Depend on ownership at exit, dilution from later funding and the rights attached to each investment.

The initial € 4 M finances development. Later manufacturing and international deployment may require customer deposits, borrowing or additional equity.

These are future company values in constant 2026 euros, not today's valuation or a return multiple on the initial funding. Nominal exit values require explicit inflation assumptions.